

Government Budget: Meaning & Objectives

- **Definition:** A statement of expected receipts and expenditures of the government for a fiscal year.
- **Objectives:**
 - **Managing Public Sector Enterprises:** Provisions for managing and financially supporting public sector units (PSUs). May involve privatization if inefficient.
 - **Economic Stability:** Controlling inflation (increase taxes, reduce expenditure) and deflation (reduce taxes, grant subsidies) through fiscal policy.
 - **Redistribution of Income & Wealth:** Promoting equity by reducing inequalities. Progressive taxation on the rich and subsidies for the poor.
 - **Allocation of Resources:** Influencing resource allocation towards social welfare (tax concessions, subsidies for beneficial goods like Khadi) and discouraging harmful goods (heavy taxation on liquor, tobacco).

Budgetary Receipts

Total estimated money receipts of the Government from all sources during a fiscal year.

- **Revenue Receipts:** Do not create any liability nor reduce any asset of the government.
- **Tax Receipts:** Compulsory payments to the government. No direct service in return.
 - **Direct Tax:** Burden cannot be shifted (e.g., Income tax, Corporation tax, Gift tax). Progressive in nature.
 - **Indirect Tax:** Burden can be shifted (e.g., Goods and Services Tax (GST), Custom duty). Regressive in nature.
- **Non-Tax Receipts:** Receipts from sources other than taxes.
 - **Fines:** Economic punishment for law-breakers.
 - **Fees:** Payment for government services (e.g., land registration, passport fees).
 - **Escheat:** Income from property left without a legal heir.
 - **Grants/Donations:** Received during calamities, wars, or from citizens/organizations.
 - **Income from Public Enterprises:** Profits from government-owned entities (e.g., Indian Railways).
 - **Interest:** Received on loans given by the government.
- **Capital Receipts:** Create a liability for the government or reduce its assets.
 - **Recovery of Loans:** Loans offered to others are assets; recovery reduces assets.
 - **Disinvestment (PSU):** Sale of shares of public sector undertakings to the private sector; reduces government assets.
 - **Borrowings & Other Liabilities:** Money borrowed from the public, RBI, or rest of the world; creates liability. These are debt-creating capital receipts.

Budgetary Expenditure

Total estimated expenditure of the government over a fiscal year.

- **Revenue Expenditure:** Do not create any asset nor reduce any liability of the government.
 - Examples: Old age pension, subsidies, scholarships, salaries of government employees, interest payments, gifts, grants, defense services expenses, tax collection expenses.
 - Nature: Recurring, incurred on normal functioning.
- **Capital Expenditure:** Create assets for the government or reduce its liabilities.
 - Examples: Repayment of loans, purchase of equity shares, expenditure on land, building, machinery, construction of infrastructure (schools, flyovers, hospitals).
 - Nature: Non-recurring, incurred on acquisition of assets and granting loans.

Budgetary Situations

- **Balanced Budget:** Budgetary expenditure equals budgetary receipts ($TR = TE$).
- **Surplus Budget:** Budgetary receipts are greater than budgetary expenditure ($TR > TE$). Prepared during inflation.
- **Deficit Budget:** Budgetary expenditures are greater than budgetary receipts ($TE > TR$). Prepared during deflation.

Types of Deficits

Budgetary Deficit = Total Expenditure - Total Receipts

- **Revenue Deficit (RD):**
 - Definition: Excess of revenue expenditures over revenue receipts ($RD = RE - RR$, where $RE > RR$).
 - Implications: Indicates government's inability to meet recurring expenses from its regular income. May lead to borrowings or disinvestment, creating liabilities or reducing assets.
- **Fiscal Deficit (FD):**
 - Definition: Excess of total expenditure over total receipts *other than borrowings*. It equals the government's total borrowing requirement.
 - Formula: $FD = \text{Total Expenditure} - \text{Total Receipts (excluding borrowings)}$
 - Alternatively: $FD = (RE + CE) - RR - \text{Recovery of loan} - \text{Disinvestment}$
 - Implications:
 - **Inflation:** Borrowing from RBI increases money supply.
 - **Increased Foreign Dependence:** Borrowing from abroad.
 - **Financial Burden:** Debt for future generations.
 - **Debt Trap:** Leads to higher interest payments, increasing revenue deficit.

- **Primary Deficit (PD):**
 - Definition: Fiscal deficit minus interest payments.
 - Formula: $PD = \text{Fiscal Deficit} - \text{Interest Payment}$
 - Purpose: Shows the borrowing requirement exclusive of interest payments on past debt.

Financing Budget Deficit

- Deficit financing (borrowing from RBI against Treasury Bills).
- Borrowing from the public.
- Disinvestment.
- Reducing expenditure and increasing tax/non-tax revenue.

Formulas Summary

- Total Receipts = Revenue Receipts + Capital Receipts
- Revenue Receipts = Tax Revenue + Non-Tax Revenue
- Tax Revenue = Direct Tax + Indirect Tax
- Capital Receipts = Recovery of Loans + Disinvestment + Borrowings
- Revenue Deficit (RD) = Revenue Expenditure - Revenue Receipts
- Fiscal Deficit (FD) = Total Expenditure - Total Receipts (excluding borrowings)
- Primary Deficit (PD) = Fiscal Deficit - Interest Payment



